HSC BUSINESS STUDIES

Global Factors as an

Operations Strategy

Case Study Focus: McDonald's – A Global Operations Giant

SYLLABUS FOCUS
Operations Strategies

TOPIC
Global Factors in Business

PRESENTER
Business Studies Division

COURSE OBJECTIVES

Learning Outcomes: Global Factors

WALT: We Are Learning To

- **Analyze and understand** the strategic role of global factors as an essential operations strategy in modern commerce.
- **Explain and evaluate** how a massive global enterprise like McDonald's capitalizes on global factors to construct and defend its market competitive advantage.

WILF: What I'm Looking For

- **Define:** Clear personal explanations of global sourcing, economies of scale, scanning and learning, and research & development (R&D).
- **Apply:** Specific, highly relevant real-world applications of at least two global strategies employed by McDonald's.
- **Evaluate:** Systematic analysis of structural advantages generated by these strategies.

SYLLABUS OVERVIEW

Syllabus Theory: Core Global Strategies

Global Sourcing

Procuring raw inputs and services from international markets across geopolitical borders to exploit national cost-efficiency and quality differences.

Economies of Scale

Financial and operational cost advantages achieved through volume of scale, reducing the average unit cost of output as production increases.

Scanning & Learning

Constant and structured monitoring of global markets for incoming trends, business processes, and best practices to assimilate dynamically.

Research & Development

Long-term operational investments targeted towards inventing brand new systems and menu items or optimizing current production machinery.

CASE STUDY ANALYSIS

McDonald's: Strategic Implementation

- **Global Sourcing:** Ingredients are sourced globally (e.g., select US/Canadian potatoes for fry consistency, specific coffee origins) to guarantee quality uniformity.
- **Economies of Scale:** Harnessing massive global demand across 40,000+ stores to bulk-purchase raw inputs, paper goods, and technology at heavily minimized unit prices.
- **Scanning & Learning:** Proactively integrating international food innovations and technologies (e.g., McCafé concept in Australia, modern digital self-service kiosks).
- **Research & Development:** Formulating localized menu adaptions (e.g., McPlant burger) and testing green, sustainable product packaging techniques.



INTERACTIVE LEARNING

Activity: The Global Playbook

Part 1: Group (15m)

In your designated business groups, analyze your assigned global factor.

Utilize the provided case studies to identify an alternative McDonald's application example and outline the operational benefit.

Part 2: Individual

Construct a comprehensive **Global Factors Strategy Matrix** containing:

- Formal definition of the factor
- Verifiable McDonald's usage
- Logical outcome on margins

Differentiation

Scaffold: Access the pre-filled matrix worksheet containing localized sentence structures and key-word lists.

Extension: Incorporate "Logistical & Geopolitical Risks" analysis into your matrix columns.

FORMATIVE EVALUATION

Review & Strategic Discussion

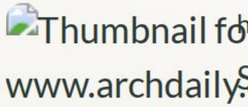
Quick Check

1. Briefly define **'Economies of Scale'** and explain how it differs from sheer production volume.
2. Cite one concrete implementation of **'Scanning and Learning'** adopted by McDonald's.
3. Highlight a prime financial advantage linked directly to strategic **'Global Sourcing'**.

Discussion Prompts

- Which of the four fundamental global factors provides the most defensible market barrier for McDonald's? Justify.
- Identify three critical ethical, geographic, or macro-political challenges McDonald's faces by maintaining highly globalized sourcing paths.

Image Sources



https://images.adsttc.com/media/images/5576/521e/e58e/cef4/6900/00b8/large_jpg/Mei_McDonalds_JeroenMusch_4421.jpg?1433817618

Source: www.archdaily.com